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POLAND  
2007

## 1. Overview of the tax-benefit system

Unemployed persons receive benefits in a fixed amount for a period from 6 to 18 months. In cases provided for in the law (and in special cases after the loss of the unemployment benefit) they may receive social assistance benefits (income related) - facultative temporary benefits (5-6 months). Besides, social assistance plays a role of the “last resort benefit”. Housing allowances function outside the social assistance system and require fulfilment of income criterion. The income criterion also applies in the case of family and maternity benefits.

The tax system allows for joint taxation of spouses, and in the case of single parents – joint taxation with the child.

As concerns social benefits, only pension benefits (retirement and disability pensions) and unemployment benefits (as well as pre-retirement allowances and bridging benefits) are taxable.

### 1.1. Average worker wage (AW)

The 2007 AW level is PLN 32 292.<sup>1</sup>

## 2. Unemployment insurance

### 2.1 Conditions for receipt

The right to unemployment benefit is granted to a registered unemployed person who (among others):

- is able and ready to take up employment on a full time basis, according to the working time rate applied in a given occupation or service,
- has reached the age of 18 years and has not reached the retirement age (60 years for women and 65 years for men),
- who do not owe or possess of an agricultural estate, with arable land exceeding the area of 2 conversion hectares,
- do not receive monthly income in the amount exceeding 50 percent of the minimum remuneration (excluding income from interest rates or income from savings on bank accounts),

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<sup>1</sup> AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration ([www.oecd.org/ctp](http://www.oecd.org/ctp)). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

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- is not a recipient of permanent allowance or permanent compensatory allowance, guaranteed temporary allowance, training benefit, nursing benefit, supplement to family benefit on the basis of the social assistance legislation.

### 2.1.1 *Employment conditions*

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office, if there are no proposals of suitable employment, no referral to subsidized job, training, apprenticeship, on-the-job-training. The person during the period of 18 months preceding the day of registration should be employed for a period of at least 365 days or perform other profitable tasks and reach remuneration that equals to at least of 50 percent of the minimum remuneration and from which the contribution to the Labour Found had been paid.

The right to unemployment benefit shall not be granted if (among others):

- the unemployed refused without a justified reason a proposal of employment, training, on-the-job-training or subsidized work,
- within the period of 6 months preceding the registration, the employment contract has been terminated with notice or on a basis of an agreement with the employer unless the agreement of both parties had been caused by: bankruptcy or liquidation of the employer or by employment cut-offs for employer-related reasons or by the change of the place of residence,
- within the period of 6 months preceding the registration the employment contract has been terminated without the notice for the employee reasons.

There are no job-search conditions for becoming and remaining entitled to unemployment benefits apart from:

- being registered as unemployed,
- obligation to report to the district (*powiat*) labour office at designated dates to confirm readiness to take up employment and to receive information on employment and training opportunities,
- accepting job offers proposed by the district (*powiat*) labour office.

The entitlement to the unemployment benefit is deprived when the entitled person:

- has not reported to the district (*powiat*) labour office at a designated date and has not informed within 5 days on a justified reason for his/her absence, deprivation of the status of an unemployed shall be valid for the period of 3 months as of the designated date of reporting to the district (*powiat*) labour office
- has refused to undergo medical or psychological examination assessing the ability to work; deprivation of the status of an unemployed shall be valid for 3 months as of the date of refusal;
- has applied for deprivation of the status of unemployment.

There are possibilities to re-apply for benefits once they have expired, provided that the conditions concerning the benefit eligibility period (defined above) are fulfilled. According to district (*powiat*) labour office experience it is common that the unemployed re-apply for benefits as soon as they acquire the right to do it, but unfortunately there are no detailed data describing this process (there are data concerning the persons who were registered as unemployed for at least second time from 1990 - in June 2003 the number of such persons amounted to 61% of total number of persons registered as unemployed) .

### 2.1.2 *Contribution conditions*

Contribution to the Labour Found is paid by the employer. The contribution equals 2.45 percent of the basis for the social security contributions.

## 2.2 Calculation of benefit amount

### 2.2.1 *Calculation of gross benefit*

In 2007 unemployment benefits were subject to indexation by consumer prices growth index in previous year. The monthly level of unemployment benefit in recent years amounted to:

- From 1 September 2001 to 31 August 2002 – PLN 476.70.
- From 1 September 2002 to 31 August 2003 – PLN 498.20.
- From 1 September 2003 to 28 February 2004 – PLN 503,20.
- From 1 March 2004 to 31 May 2005 – PLN 504,20.
- From 1 June 2005 to 31 May 2006 – PLN 521,90.
- From 1 June 2006 to 31 May 2007 – PLN 532,90.
- From 1 June 2007 – PLN 538,30 (to 31 May 2008)

Additionally the benefits are adjusted according to the length of the unemployment benefit eligibility period:

- persons having less than 5 years of unemployment benefit eligibility period receive 80 per cent of benefit,
- persons having from 5 to 20 years of unemployment benefit eligibility period receive 100 per cent of benefit,
- persons having more than 20 years of unemployment benefit eligibility period receive 120 per cent of benefit.

### 2.2.2 *Income and earnings disregards*

The unemployed person entitled to the unemployment benefit cannot receive monthly income in the amount exceeding the 50 percent of the minimum gross remuneration (excluding income from interest rates or income from savings on bank accounts). From the 1<sup>st</sup> of January 2007 the average minimum gross remuneration equals to PLN 936,00 per month (in 2006 the average minimum pay gross is PLN 899,10 per month).

## 2.3 *Tax treatment of benefit and interaction with other benefits*

Taxation rate is 19 per cent of gross benefit.

Yearly benefit = gross benefit – income tax – health insurance

Where:

income tax = (gross benefit \* 19% - 572,54) – gross benefit \* 7,75% - the income tax cannot be lower than 0, if the result of the deduction is negative number then it is assumed that income tax equals 0

health insurance = gross benefit \* 9%

Please see conventions described in point 10.1.

## 2.4 *Benefit duration*

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office. The period of receiving the benefit is as follows:

- 6 months – in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit did not exceed 125% of the national average unemployment rate.
- 12 months - in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit exceeded 125% of the national average unemployment rate or in case of the unemployed at the age 50 or more who have at least 20 years of unemployment benefit eligibility period (***note: for calculations, this is assumed to be the most general case***).
- 18 months - in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit exceeded twice the national average unemployment rate if simultaneously they have at least 20 years of unemployment benefit eligibility period or in case of the unemployed who have at least one dependent child at the age of 15 years or less and the spouse of the unemployed person is also unemployed and forfeited the right to benefit because of expiry of the a period of receiving benefit.

## 2.5 *Treatment of particular groups*

The Act on Employment Promotion and Labour Market Institutions defines six groups of people at the special situation on the labour market (changes in force from 26<sup>th</sup> of October 2007)

- young persons (aged 25 or less),
- long term unemployed (the unemployed spell exceeds 12 months within last 2 years) and women who did not take up employment after giving birth to a child,
- persons aged over 50,
- low-skilled unemployed, without professional experience or upper-secondary education,
- lonely parents with a children aged up to 18 years of age,
- unemployed who after imprisonment do not take up work,
- people with disabilities.

The unemployed who belong to these groups should receive either a job vacancy or other work possibility, an internship, on-the-job training, public work or subsidized work during the first 6 months of unemployment (or in case of long term unemployed – during the period of 6 months following the day of the termination of eligibility to unemployment benefit).

### 2.5.1 *Young persons*

The unemployed person aged up to 25 may receive a scholarship that equals 40 percent of the amount of unemployment benefit. The scholarship is granted for the period of training.

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When referred to apprenticeship young unemployed person (up to 25 years or in case of high-school graduate up to 27 years of age within 12 months after graduation) receives a scholarship in amount of the unemployment benefit. The maximum period of apprenticeship is 12 months.

The low-skilled (from the 26<sup>th</sup> of October 2007) unemployed aged 25 or less who take up education in the secondary school for adults or who take up evening or extramural studies are granted scholarship amounting to 50 percent of the unemployment benefit. The period of receiving the scholarship equals to 12 months but it may be prolonged until graduation. Scholarships are means-tested (family income criterion within social assistance legislation). The loss of the status of unemployed or discontinuation of education the means also the loss of the eligibility to the scholarship.

### 2.5.2 Older workers

As of 1 August 2004 the responsibility for pre-retirement benefits and pre-retirement allowances (also in case of granting and payment of these benefits) was transferred from local labour offices to the Social Insurance Institution<sup>2</sup>. The pre-retirement allowance can be granted to a person who had lost his/her job, who was registered as unemployed for at least 6 months and was receiving the unemployment benefit (for at least 6 months) and who:

- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to liquidation of the employer or it's insolvency or;
- is at least 55 (women) or 60 (men) years old and has insurance record to receive an old-age pension of at least 30 or 35 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to difficulties of their employer;
- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively and who runs his own company and paid social security contributions without any break for at least 24 months before he/she declared bankruptcy;
- has lost the entitlement to disability pension (that was previously granted for more than 5 years) and within 30 days registered in local PES as unemployed and who was at least 55 (women) or 60 (men) years old at the day of lost the entitlement and has insurance record to receive an old-age pension of at least respectively 20 or 25 years;
- has insurance record to receive an old-age pension of at least respectively 35 or 40 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to difficulties of their employer;
- has insurance record to receive an old-age pension of at least respectively 34 or 39 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to liquidation of the employer or it's insolvency.

The pre-retirement benefit is granted if he/she meets all of the following requirements:

- is still registered as the unemployed person,
- within the period of receiving the unemployment benefit did not refuse without justified reason a proposal of suitable employment or other gainful work or subsidised jobs and public works,
- fills an application for the pre-retirement benefit within 30 days from the day of issue by the district labour office a document certifying the 6-month period of receiving the unemployment benefit.

As from 1 August 2004 the benefit amounts to PLN 670 and will be subject to indexation. The benefit together with additional income may not exceed a half of average monthly remuneration from the previous

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<sup>2</sup> Act of Law of 30th of April 2004 on pre-retirement benefits (Journal of Laws No. 120 item 1252).

year proclaimed by the President of the Central Statistical Office, and additional income may not be higher than 70% of this remuneration. As from the 1<sup>st</sup> of march 2006 the pre-retirement benefit amounts to PLN 711.54.

/source: *Social Insurance in Poland - Information and facts*, Social Insurance Institution, Warsaw 2004/

### 2.5.3 Unskilled workers

The unskilled workers are defined as persons with educational attainment ISCED 1, ISCED 2 or ISCED 3C long (general upper-secondary schools – licea ogólnokształcące).

The low-skilled (from the 26<sup>th</sup> of October 2007) unemployed aged 25 or less who take up education in the secondary school for adults or who take up evening or extramural studies are granted scholarship amounting to 50 percent of the unemployment benefit for 12 months. The scholarship may be prolonged until graduation. Scholarships are means-tested (family income criterion within social assistance legislation). The loss of the status of unemployed or discontinuation of education means also the loss of the eligibility to the scholarship.

### 2.5.3 Lone parents with children aged 18 years or less

The act of employment promotion and labour market institutions does not concern intuitions responsible for childcare.

The costs of childcare (only in case of children aged 7 or less) when an unemployed takes up a work or is referred to on-the-job-training or other training may be reimbursed. The reimbursement amounts up to 50 percent of the unemployment benefit, and is means-tested (family income criterion within social assistance legislation). It is paid for the period of:

- 3 months if the unemployed takes up a job for at least 6 months,
- 6 months if the unemployed takes up a job for at least 12 months.

If the unemployed is referred to training or internship reimbursement can be obtained for the whole training period. Similarly the costs of care for other dependent members of the family may be reimbursed.

## 3. Unemployment assistance

None

## 4. Social assistance

### 4.1 Conditions for receipt

#### A. Benefits from social welfare system

General principles: to have insufficient means of living under income criteria (477 PLN single; 351 PLN family per capita) and to meet social criteria.

#### Income<sup>3</sup> criteria per capita -monthly (in PLN)

|                      | From May 2004* |
|----------------------|----------------|
| Single person family | 461            |

<sup>3</sup> Net income

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|                                |                   |
|--------------------------------|-------------------|
| At least two-persons<br>Family | 316               |
| <hr/>                          |                   |
|                                | From October 2006 |
|                                | **                |
| <hr/>                          |                   |
| Single person family           | 477               |
| At least two-persons<br>Family | 351               |

\*income criteria in 2006 hasn't changed since May 2004;

\*\*income criteria will change in 2008

Social criteria: poverty, orphanage, homelessness, unemployment, disability, permanent illness, family violence, need to protect motherhood and large families, inability to provide for the care of children or a household, especially in a large or incomplete families, difficulties in adjustment to life of youth raised in care and education centers, difficulties in integration of refugees, difficulties in adjusting to life upon the release from penal institutions, alcohol and drug addiction, natural ecological disaster, crisis situation.

Simultaneously the right to permanent, temporary allowance belongs only to specific kinds of beneficiaries. In other cases there is discretionary periodic assistance (cash). It concerns purpose benefits (e.g. for the coverage of costs of purchases of food, medicines and treatment, fuel, clothing, daily necessities, minor apartment and damage repairs or funeral costs).

## **B. Benefits from Social Insurance Institution – social pension**

Social pension are paid by the Social Insurance Institution<sup>4</sup> to adult due to inability to work that occurred in childhood (before 18 years old) or during studies.

### **4.2 Calculation of benefit amount**

#### **4.2.1 Calculation of gross benefit**

##### **A. Benefits from social welfare system**

##### **Permanent benefits**

Permanent benefits – the level stated in the Act on Social Assistance and the level= family income criterion per capita – family income per capita,

Maximum benefit: 477 PLN monthly, minimum benefit = 30 PLN. (will be changed in 2008)

##### **Temporary benefits**

temporary benefits – the final level depends on discretionary administrative decision, might be less than maximum:

Maximum benefit = family income criterion per capita – family income per capita, but not more than 418 PLN monthly, minimum benefit = 20 PLN (will be changed in 2008).

<sup>4</sup> Since October 2004, social pension was excluded from social welfare system.

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In 2007 the minimum amounts of the temporary benefit was as follows (changed in 2008):

- for a person keeping a single household – 35% of the difference between the criterion of income of a person keeping a single household and the income of that person
- for a family – 25% of the difference between the criterion of income of the family and the actual income of that family.

## **B. Benefits from Social Insurance Institution – social pension**

The amount of social pension equals to 84% of minimum pension

Between October 2003 and February 2004 it was PLN 464,21 per month

Between March 2004 and February 2006 it was PLN 427,57 per month

From March 2006 the social pension is 501,87 PLN (no changes in 2007)

### **4.2.2      *Income and earnings disregards***

No disregards. Income test on net income.

### **4.3      *Tax treatment of benefit***

Not taxable.

### **4.4      *Benefit duration***

It depends on kind of benefit and of person's social situation.

Permanent – unlimited (no time limit stated in administrative decision) , temporary – benefit duration fixed according to the beneficiary situation and after the case examination by the local social assistance centre.

### **4.5      *Treatment of particular groups***

#### **4.5.1      *Young persons***

None

#### **4.5.2      *Older workers***

None

## **5.      *Housing benefits***

### **5.1      *Conditions for receipt***

Housing benefits are paid by local authorities to the low income households (the housing benefits are paid to the owners of the houses, flats etc.). A single person must have gross income under 175 per cent of the minimum retirement pension and families must have gross income equal to less than 125 per cent of the minimum retirement pension per capita. If the income exceeds these limits and the housing benefit is

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higher than the surplus of the income criteria the benefit is paid (than the housing benefit equals the difference between the income surplus and the achievable housing benefit).  
Housing benefits are outside the social assistance system.

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**Income criteria (monthly, PLN)**

|                                              | June 2002 – February 2003    | March 2003 – February 2004                          | March 2004 – December 2004 |
|----------------------------------------------|------------------------------|-----------------------------------------------------|----------------------------|
| Single household (160% minimum pension)      | 852,70                       | 884,20                                              | 900,13                     |
| Per capita for family (110% minimum pension) | 586,20                       | 607,89                                              | 618,84                     |
|                                              | January 2005 – February 2006 | March 2006 (no changes in 2007/will change in 2008) |                            |
| Single household (175% minimum pension)      | 984,52                       | 1045,56                                             |                            |
| Per capita for family (125% minimum pension) | 703,23                       | 746,83                                              |                            |

**Income criteria from March 2006 and in 2007 (monthly, PLN)**

|                                              | From March 2006 |
|----------------------------------------------|-----------------|
| Single household (175% minimum pension)      | 1045,60         |
| Per capita for family (125% minimum pension) | 746,83          |

In 2006 the average housing benefit was equal to 138 PLN (urban area 142 PLN and rural area 112 PLN)<sup>5</sup>. Since 01.09.2004 these benefits are in communes competence only.

## 5.2 *Calculation of benefit amount*

### 5.2.1 *Calculation of gross benefit*

Benefit is paid based on the difference between what is considered a reasonable payment for a family and actual housing costs. Housing costs cannot exceed a maximum amount, calculated based on the size of the family and the size of the flat.

The reasonable payment for a house is based on the size of the house, as follows:

- 35 m<sup>2</sup> – one person
- 40 m<sup>2</sup> – two people

<sup>5</sup> Data of the Polish Central Statistical Office

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- 45 m<sup>2</sup> – three people
- 55 m<sup>2</sup> – four people
- 65 m<sup>2</sup> – five people
- 70 m<sup>2</sup> – six people
- each additional person – 5 m<sup>2</sup>

The area of the house cannot exceed these limits by more than 30%. To calculate the expected housing costs, calculate the cost per square meter of the house, and then multiply this cost per metre by the expected house size. As an example, a single person in a 36m<sup>2</sup> house paying 360 per month would have a cost per metre of PLN 10. PLN 10 times the expected house size (35m<sup>2</sup>) gives us an expected housing cost of PLN 350.

The household has to cover the housing expenses up to:

- 15% of household income – in case of single person households
- 12% of household income – 2 – 4 person households
- 10% of household income – 5 and more person households

Thus if in the above example the individual earns PLN 1000 they would be expected to pay 15% of 500, or PLN 75. The housing benefit would thus be the expected housing cost (PLN 350) minus their expected contribution (PLN 75), or PLN 275.

#### 5.2.2 *Income and earnings disregards*

No disregards

#### 5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

#### 5.4 *Treatment of particular groups*

None.

### 6. **Family benefits (no changes in 2007)**

#### 6.1 *Conditions for receipt*

The claimant must have a dependent child aged under 18, or under 21 if still in education, or 24 if disabled and still in education.

## 6.2 Calculation of benefit amount

### 6.2.1 Calculation of gross benefit

Family benefits:

Since 1.09.2006, the family allowance amount depends of the child age and accounts:

- PLN 48 monthly for a child until the child will reach 5 years of age,
- PLN 64 monthly for a child in the age of 5 up to 18 years,
- PLN 68 monthly for a child in the age of 18 up to 24 years.

Within family benefits there are following supplementary benefits available:

1. Birth supplement – PLN 1000 per child, one-off payment since 01.01.2006 (till 31.12.2005 PLN 500).
2. Child care supplement in the time of parental leave – PLN 400 – per month (for max 24 months).
3. Supplementary allowance for single parent that are not entitled to unemployment benefits anymore – PLN 400 – per month only for these, who received the right before 1.09.2005 (paid max 3 years for children aged up to 7).<sup>6</sup>
4. Supplementary allowance for single parents – PLN 170 – per child per month, to a maximum of PLN 340 per month. Lone parents with disabled children can receive PLN 250 per disabled child per month<sup>7</sup>
5. Supplementary allowance on education and rehabilitation of disabled children – PLN 60 per month per child aged up to 5 and PLN 80 – per child aged 6-24.
6. Supplementary allowance for raising child in large family (3 children and more) – for third and next child – 80PLN per child per month.
7. Supplementary allowance at beginning of the school – PLN 100 - one-off payment per each grade
8. Supplementary allowance on children that are taking up education in schools outside the area of living – PLN 90 – per child per month (if child lives in boarding-school), or 50 PLN – per child per month (if child needs to travel to school). The allowance is available for 10 months of school year from September to June

Within family benefits there are following supplementary benefits available that are not means tested (since 01.01.2006):

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<sup>6</sup> Since September 1 2005 the benefit is no more permitted.

7 . It is not allowed to profit from both benefits described in the no 3&4 at the same time.

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- Birth supplement – PLN 1000 per child, one-off payment.
- Possibility for extra birth supplement paying by the commune (gmina).

Other family benefits for single parents:

- Advance of maintenance<sup>8</sup> for child single parents and in case the family net income per capita does not exceed PLN 583 (is granted to a child until 18 years of age or 24 if is still studying at school or collage/university. Advance approximate:
  - PLN 170 (PLN 250 if the child is disabled) in the family are evaluator not more than 2 persons.
  - PLN 120 (PLN 170 if the child is disabled) in the family are evaluator 3 or more persons.

In case the family net income per capita does not exceed 50% of the income criteria for the family benefit (equal PLN 291,50) than a maximum advance of maintenance is growing to:

- PLN 300 (PLN 380 for disabled child), not more than PLN 600 (PLN 760) for one family.
- PLN 250 (PLN 300 for disable person), in case 3 and more authorized person in the family.

#### 6.2.2 *Income and earnings disregards*

Benefit is granted for a period of 12 months<sup>9</sup> (1.09 – 31.08), thus the right to benefit is tested once a year. From 1 May 2004 till 31 August 2005 – net income criteria per capita – PLN 504 (average monthly family net income per capita in 2002); from 1 September 2005 till 31 August 2006 – PLN 504 (net income per capita in 2004), in both periods in the case of families with disabled child – PLN 583. (the income criteria will be changed in 2009).

#### 6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

#### 6.4 *Treatment of particular groups*

No special rules.

### 7. **Childcare for pre-school children**

Nurseries are for taking care of children under 3 years old, nursery schools for children between 3 and 6 years old. Attending nursery schools (pre-primary education) is obligatory for 6-year-old children. Compulsory schooling starts at age of 7. Generally, in the case of nursery schools, local governments cover the cost of 5 hours of childcare a day (without board), for more hours and board partners have to pay on

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<sup>8</sup> In the case if the one of the child parents does not pay the maintenance.

9. The current period is prolonged and lasts 16 months (1.05.05 – 31.08.05)

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their own. The fees are established by local governments. Childcare in nurseries is fully covered by parents. All of this concerns only public institutions. In case of non-public institution, parents need to cover childcare for whole day. The fees are established by organizations that run childcare.

There is no information on the average fees. Data on childcare in 2006 (as of 31 December 2006)

Children staying in nurseries per 1000 children up to age 3 – 17 children

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|            | Children in nurseries (as of 31 XII 2006) |           |      |       |      |            |
|------------|-------------------------------------------|-----------|------|-------|------|------------|
|            | total                                     | At age of |      |       |      |            |
|            |                                           | 0         | 1    | 2     | 3    | 4 and more |
| Total      | 25077                                     | 1501      | 7483 | 12234 | 3482 | 377        |
| Public     | 24116                                     | 1457      | 7261 | 11756 | 3329 | 313        |
| Non-public | 961                                       | 44        | 222  | 478   | 153  | 64         |

„Basic data on health service and social welfare 2006”, p. 109.

|       | Children attending nursery schools in thous. |         |         |         |         |         |         |
|-------|----------------------------------------------|---------|---------|---------|---------|---------|---------|
|       | 1995/96                                      | 2000/01 | 2003/04 | 2004/05 | 2005/06 | 2006/07 | 2007/08 |
| Total | 537,2                                        | 451,6   | 397,9   | 384,2   | 371,4   | 366,2   | 343,4   |

„Concise statistical yearbook of Poland 2005” p. 223, „Concise statistical yearbook of Poland 2007” p. 232, „Concise statistical yearbook of Poland 2008”, p. 230.

| Age: | Children attending pre-primary education establishments per 1000 children |         |         |         |         |         |         |
|------|---------------------------------------------------------------------------|---------|---------|---------|---------|---------|---------|
|      | 1995/96                                                                   | 2000/01 | 2003/04 | 2004/05 | 2005/06 | 2006/07 | 2007/08 |
| 3-6  | 453                                                                       | 500     | 523     | 537     | 556     | 584     | 594     |
| 3-5  | 272                                                                       | 327     | 357     | 382     | 410     | 446     | 473     |
| 6    | 973                                                                       | 972     | 977     | 981     | 976     | 974     | 949     |

„Concise statistical yearbook of Poland 2007” p. 251, „Concise statistical yearbook of Poland 2008”, p. 249.

| Age: | Children attending nursery schools per 1000 children |         |         |         |         |         |         |
|------|------------------------------------------------------|---------|---------|---------|---------|---------|---------|
|      | 1995/96                                              | 2000/01 | 2002/03 | 2003/04 | 2004/05 | 2005/06 | 2006/07 |
| 3-6  | 356                                                  | 388     | 394     | 404     | 416     | 433     | 458     |
| 6    | 633                                                  | 595     | 577     | 577     | 566     | 555     | 552     |

“Statistical yearbook of the Republic of Poland 2006” Chapter XI Education Tabl. 40 (278), “Statistical yearbook of the Republic of Poland 2007” Chapter XI Education Tabl. 40 (277).

| Children in pre-primary education establishments (as of September 2006) |                           |                  |          |                              |
|-------------------------------------------------------------------------|---------------------------|------------------|----------|------------------------------|
| Total                                                                   | At age of (year of birth) |                  |          |                              |
|                                                                         | 2 (2004)                  | 3-5 (2001 -2003) | 6 (2000) | 7 and more (1999 or earlier) |
| 862656                                                                  | 13094                     | 474388           | 366193   | 7479                         |

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| Children in nursery schools (as of September 2006) |                           |                  |          |                              |
|----------------------------------------------------|---------------------------|------------------|----------|------------------------------|
| Total                                              | At age of (year of birth) |                  |          |                              |
|                                                    | 2 (2004)                  | 3-5 (2001 -2003) | 6 (2000) | 7 and more (1999 or earlier) |
| 676428                                             | 12988                     | 451029           | 207442   | 4179                         |

“Education in the school year 2006/2007” p. 92

### 7.1 *Out-of-pocket childcare fees paid by parents*

Information on fees is only available at the local level (gmina level). Fees for nursery schools consist of monthly fee (fixed on gmina level and established by local government) and payment for feeding (depends on institutions ) There are no statistics on regional levels.

Examples\* of fees for rural and rural/urban gminas in 2005 (voivodship level):

| <b>Voivodship</b>   | <b>Fee for nursery school in 2005</b> |
|---------------------|---------------------------------------|
| Dolnośląskie        | 135,60 PLN                            |
| Śląskie             | 70,40 PLN                             |
| Łódzkie             | 133,50 PLN                            |
| Wielkopolskie       | 83,60 PLN                             |
| Lubuskie            | 128,00 PLN                            |
| Zachodnio-pomorskie | 177,00 PLN                            |
| Pomorskie           | 100,00 PLN                            |
| Kujawsko-pomorskie  | 59,00 PLN                             |
| Warmińsko-mazurskie | 150,40 PLN                            |
| Podlaskie           | 147,00 PLN                            |
| Lubelskie           | 112,00 PLN                            |
| Podkarpackie        | 101,00 PLN                            |
| Małopolskie         | 172,90 PLN                            |
| Świętokrzyskie      | 107,00 PLN                            |
| Mazowieckie         | 170,00 PLN                            |
| Opolskie            | 97,45 PLN                             |

Examples\* of fees for urban gminas in 2005 (voivodship level):

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| <b>Voivodship</b>   | <b>Fee for nursery school in 2005</b> |
|---------------------|---------------------------------------|
| Dolnośląskie        | 248,00 PLN                            |
| Śląskie             | 186,34 PLN                            |
| Łódzkie             | 190,00 PLN                            |
| Wielkopolskie       | 250,00 PLN                            |
| Lubuskie            | 210,40 PLN                            |
| Zachodnio-pomorskie | 278,00 PLN                            |
| Pomorskie           | 260,31 PLN                            |
| Kujawsko-pomorskie  | 191,40 PLN                            |
| Warmińsko-mazurskie | 213,60 PLN                            |
| Podlaskie           | 185,00 PLN                            |
| Lubelskie           | 212,80 PLN                            |
| Podkarpackie        | 151,00 PLN                            |
| Małopolskie         | 211,88 PLN                            |
| Świętokrzyskie      | 169,00 PLN                            |
| Opolskie            | 206,24 PLN                            |
| Mazowieckie         | 238,90 PLN                            |

- - examples are not representative of all nursery schools in specific voivodship, information was taken only from one unit (one for rural or rural/urban and one for urban gmina) of each voivodships

In the OECD calculations are used the fees for 2005, approximated with 2005-7 changes in CPI for urban gminas in the region of Mazowieckie, that includes the capital Warsaw and take into account information obtained from 32 childcare facilities out of 17229 ones that are in Poland.

## **7.2 Child-care benefits**

See chapter 6

## **8. Employment-conditional benefits**

None

## **9. Lone-parent benefits**

See chapter 6

## 10. Tax system

### 10.1 Income tax rate schedule

Any individual resident in Poland or on a temporary stay longer than 183 days in a given tax year, is liable to tax on his/her worldwide income, irrespective of the source of that income.

#### 10.1.1 Tax allowances and credits

Relief for work related expenses: standard deductions depend on the number of workplaces and on whether dwelling place and work place are the same or not.

| Annual deductible amounts (in PLN) |               |                     |
|------------------------------------|---------------|---------------------|
|                                    | one workplace | two/more workplaces |
| same as dwelling place             | 1302,00       | 1953,23             |
| different from dwelling place      | 1627,56       | 2441,54             |

Source: [www.mf.gov.pl](http://www.mf.gov.pl)

Basic relief: a non-refundable tax credit of PLN 572.54 is available for all taxpayers.

Relief for health insurance contributions: A tax credit is provided that almost equals health insurance contribution paid to the National Health Fund. The contribution is 9.0 per cent of the basis, tax relief is 7.75 per cent of the basis

In 2007, the new tax deduction was introduced for parents. Parents can deduct from their tax the amount of 1146 PLN per each child (non refundable). This applies to the income of 2007.

#### 10.1.2 The definition of taxable income

Gross income minus social security (in case of workers) and the above tax allowances. Gross income is the sum of gross earned income and all benefits, whether cash or in kind (with the exception of family benefits, childcare benefits and social assistance benefits).

#### 10.1.3 The tax schedule

##### Tax rate in 2007

| Tax base in PLN |        | Tax amount                                                 |
|-----------------|--------|------------------------------------------------------------|
| Over            | Below  |                                                            |
| -               | 43 405 | 19% of the tax base, less a basic tax credit of PLN 572,54 |
| 43 405          | 85 528 | PLN 7674 + 30% of surplus over PLN 43 405                  |
| 85 528          |        | PLN 20 311 + 40% of surplus over PLN 85 528                |

Source: [www.mf.gov.pl](http://www.mf.gov.pl)

## **10.2 Treatment of family income**

The tax unit is the individual. Couples have the option to file a joint tax return. Couples have the right to two tax credits. The same case applies to single parents, when children have no own income.

## **10.3 Social security contribution schedule**

Since 1<sup>st</sup> January 1999 social insurance contributions are paid by employer and employee. Social insurance contribution paid by employee covers from July 2007:

| Scheme                  | In per cent of wages before taxation |
|-------------------------|--------------------------------------|
| Retirement              | 9.76                                 |
| Disability and survivor | 3.50                                 |
| Sickness                | 2.45                                 |

Note: the contribution rate for disability and survivor insurance until June 2007 was 6.50 per cent of wage before taxation. From 2008 it will be 1.5 per cent of wage before taxation.

Furthermore, health insurance contribution is paid by employees as well. Rate of contribution is 9.0 per cent of wage after deducting social insurance contributions. A portion of health insurance contributions (7.75% of wage after deducting social insurance contribution) are tax deductible.

## **10.4 Treatment of particular group**

### **10.4.1 Young persons**

### **10.4.2 Older workers**

### **10.4.3 Others if applicable**

## **11. Part-time work**

There are no special rules for part-time workers.

## **12. Policy developments**

### **12.1 Policy changes introduced during the previous year**

Tax deduction for parents of 1146 PLN per each child.

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## 12.2 *Policy changes announced*

No final law, but government proposed:

- Longer maternity leaves
- New regulations in area of child care, including financing childcare facilities development and maintenance by employers (from employers social fund); waiver from paying Labour Fund and Employee Benefit Guarantee Fund for parents returning from maternity and child-care leave, increased pension contributions paid from public funds for parents staying on the child-care leave.